



Always Pay Cash

This in no way suggests that you throw away your credit cards. But, whenever you make a purchase pay cash instead of using the credit card. This will automatically make you aware of the outflow of cash from your pocket and you may reconsider the purchase. Another way would be to visually imagine the money you are spending when you sign the credit slip. The thought of that money will at least alert you to your actions.

Be Alert

Whenever you make a big purchase like a car be very careful about any other accessories the salesman offers you. Since the car entails a big expense the cost of the accessories seem negligible and you may be tempted to spend on something you don't really require. Ask yourself, do I really need the Rs. 25,000 leather seats when the originals are so good? Do I really require that Rs. 15,000 pioneer deck when the one that comes with the car is good enough? These expenses may not seem much when compared to the cost of the car but on their own they are big and definitely avoidable.

Be Patient

When you get a windfall, wait at least a couple of months before you take any decision. Initially put that money aside in a bank. After a while you will begin to view this money as a savings and therefore you will not waste it. That's the time to decide what you want to do with the money.

Treat All Income as Earnings

The best way to be resourceful with your money is to treat all money as earned income. Whenever you get any money ask yourself this question: How long will it take me to earn this amount of money after taxes? Over a period of time this habit will fine-tune your internal auditing system.

Having learned the art of sharpening your internal audit system it is time to understand how to process information. This will help you get over your mental anomalies.